CHAPTER 7

International Equity Investments

KEY CONCEPTS

- International equity provides currency diversification.
- Developed markets include advanced countries.
- Emerging markets and frontier markets expand into new geographic areas.
- International equities exhibit size and style premiums.

The world is a very big place, and investment opportunities abound. There are many stock and bond markets around the globe offering U.S. investors substantial diversification benefits. Some opportunities can be found in developed markets, such as those in Japan, Australia, Germany, and the United Kingdom, and other opportunities are found in the emerging markets of less-developed countries, such as China, India, Turkey, and the countries of Eastern Europe. A well-diversified portfolio includes all investable regions of the world.

Investing internationally offers diversification benefits, although is not without added risk. Foreign stock prices tend to be more volatile than U.S. stock prices. The extra volatility is a product of many variables, including (1) foreign currency risk caused by a strengthening of the U.S. dollar, (2) political risk caused by government action or inaction, (3) trading and custody risk caused by exchange restrictions on nondomestic investors, (4) regulatory risk caused by a lack of oversight and a weak judicial system, and (5) information risk caused by a lack of disclosure by foreign companies.

Because of all the extra risks involved, diversification is the key to international equity investing. No one knows which country will outperform the global markets in the near term, or whether the U.S. dollar will strengthen or weaken. Accordingly, investors would be wise to